3.7.7 Porter's five forces

Unit 3.7 Analysing the strategic position of a business · 8 key points

- **The five forces:** barriers to entry (threat of new entrants), buyer power, supplier power, rivalry, threat of substitutes
- **High barriers to entry:** protect profits, e.g. high start-up costs, patents, brands
- **Buyer power is high:** when buyers are few and can switch easily
- **Supplier power is high:** when suppliers are few and switching is costly
- **Substitutes:** products that do the same job in a different way
- **Rivalry:** intense when there are many similar competitors
- **Implications:** strong forces mean low industry profits; strategy aims to weaken them
- **How forces change:** e.g. new technology lowers barriers to entry